IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

CA (CAA)/35 /CHE/2022

Under Sections 230 to 232 of the Companies Act, 2013
In the matter of *Scheme of Arrangement (Amalgamation)*

SRI HARINI TEXTILES LIMITED.

...Applicant/ Transferor Company

Along with

THE RAMARAJU SURGICAL COTTON MILLS LIMITED.

...Applicant/Transferee Company

CORAM

Justice (Retd) S.RAMATHILAGAM, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMBER (TECHNICAL)

CORRIGENDUM

In the order dated 13.07.2022, certain inadvertent typographical error had crept in and as such in exercise of powers conferred under Rule 154 of the National Company Law Tribunal Rules, 2016, the said order is rectified as under :

1. "At para 3 of the order "ROC- Coimbatore shall be read as ROC- Chennai ."

2. At para 4 clause (ii) "under the Companies Act, 1956 on 25th November 2003" shall be read as" Indian Companies Act, 1913 on 20th of February 1939"

-Sd-

SAMEER KAKAR
MEMBER (TECHNICAL)

-Sd-

Justice (Retd) S.RAMATHILAGAM,
MEMBER (JUDICIAL)

DATED AT CHENNAI ON THIS 28TH DAY OF JULY 2022.

(7)

IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

CA (CAA)/35 /CHE/2022

Under Sections 230 to 232 of the Companies Act, 2013
In the matter of *Scheme of Arrangement (Amalgamation)*

SRI HARINI TEXTILES LIMITED.
CIN: U17111TN2005PLC057807.
A company incorporated under Companies Act, 1956,
having its registered office at. No. 102,
Sri Bhavanam, P.S.K.Nagar, Rajapalayam,
Tamil Nadu, 626108.

...Applicant/ Transferor Company

Along with

THE RAMARAJU SURGICAL COTTON MILLS LIMITED.
CIN: L17111TN1939PLC002302,
A company incorporated under Companies Act, 1913,
having its registered office at,
No. 2, 119/120, PAC Ramasamy Raja Salai,
Rajapalayam
Tamil Nadu-626117.

...Applicant/Transferee Company

Order Pronounced ***13th July 2022.***

CORAM

Justice (Retd) S.RAMATHILAGAM, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s): Pawan Jhabakh, Advocate

ORDER

Per: **SAMEER KAKAR, MEMBER (TECHNICAL)**

This is a joint application filed by the Applicant Companies, namely **SRI HARINI TEXTILES LIMITED.** (hereinafter "Transferor Company") and **THE RAMARAJU SURGICAL COTTON MILLS LIMITED** (hereinafter "Transferee Company") (together the "Applicant Companies") with its Shareholders under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the Scheme of Amalgamation (hereinafter referred to as the "SCHEME") proposed by the Applicant Companies herein with its Shareholders. The said Scheme is placed as Annexure A1 of the Application bearing No. CA(CAA)/35(CHE)/2021.

2. The Applicant Companies in this Company Application has sought for the following reliefs;

	EQUITY SHAREHOLDERS	**SECURED CREDITORS**	**UNSECURED CREDITORS**
TRANSFEROR COMPANY	To order for meeting	To dispense with	To dispense with
TRANSFEREE COMPANY	To order for meeting	To order for meeting	To order for meeting

3. An affidavit in support of the above application is sworn for and behalf of the applicant Companies has been filed by Mr. N.K.Shrikantan Raja in the capacity of Authorized Representative for the Transferor Company and Transferee Company along with the application and it is also represented that the Registered office of the Applicant Companies are situated within the jurisdiction of ROC-Coimbatore.

4. From the certificate of incorporation filed, it is evident that

(i) From the certificate of incorporation filed by the Transferor Company, it is a public unlisted company incorporated under the Companies Act, 1956, on the 13thof October, 2005. The Authorized Share Capital of the Transferor Company is Rs. 5,00,00,000/-, consisting of 50,00,000 Equity Shares of Rs.10/- each. The issued subscribed and paid-up capital of the Transferor Company is Rs. 3,00,00,000/- consisting of 30,00,0000 Equity shares of Rs. 10/- each. The registered Office of the Transferor Company is at No. 102, Sri Bhavanam, P.S.K.Nagar, Rajapalayam, Tamil Nadu, 626108.

(ii) From the certificate of incorporation filed by the Transferee Company, it is a Public Listed company incorporated under the

Companies Act, 1956, on the 25th of November, 2003. The Authorized Share Capital of the Transferee Company is Rs. 5,00,00,000/-, consisting of 50,00,000 Equity Shares of Rs.10/- each. The issued share capital of the Transferee Company is Rs. 3,94,65,600/- consisting of 39,46,560 Equity Shares of Rs.10/- each. The registered Office of the Transferee Company is at No.2, 119/120, PAC Ramasamy Raja Salai Rajapalayam Tamil Nadu - 626117.

5. **SRI HARINI TEXTILES LIMITED**
(TRANSFEROR COMPANY)

(i) There are Twenty Seven (27) Equity Shareholders, the Certificate issued by the Chartered Accountant certifying the list of Equity Shareholders is placed at Page No. 414-415 of the typed set filed with the application and sought for Convening, Holding and Conducting of the meeting

(ii) There is One (1) Secured Creditor and the Certificate issued by the Chartered Accountant certifying the list of Secured Creditors is placed at Page No. 443-446 of the typed set filed with the application and the consent affidavits given by the Secured Creditor is placed at Page No's- 447-458 of the typed set filed with the application and has sought for dispensation with holding of meeting.

(iii) There are twelve (12) Unsecured Creditors and the certificate of the Chartered Accountant certifying the list of Unsecured Creditors is placed at Page No. 443-446 and the

consent Affidavits given by unsecured creditors constituting 98.04% of the total value of credit is placed at Page No. 459-478 of the typed set filed along with the Application and sought dispensation with holding meeting.

6. **THE RAMARAJU SURGICAL COTTON MILLS LIMITED.**
(TRANSFEREE COMPANY)

(i) There are One Thousand Four Hundred and Seventeen (1417) Equity Shareholders, and the Certificate issued by the Chartered Accountant certifying the list of Equity Shareholders is placed at Page no. 416-442 of the typed set filed with the application and sought for Convening, Holding and Conducting of the meeting.

(ii) There are Eight (8) Secured Creditors and the Certificate issued by the Chartered Accountant certifying the list of Secured Creditors is placed at Page No. 479-482 of the typed set filed with the application and sought for Convening, Holding and Conducting of the meeting.

(iii) There are 117 unsecured Creditors and the Certificate issued by the Chartered Accountant certifying the list of Secured Creditors is placed at Page No. 479-482 of the typed set filed with the application and sought for Convening, Holding and Conducting of the meeting.

7. We have perused the application and the connected documents / papers filed therewith including the Scheme contemplated by the Applicant companies.

8. The Applicant Companies has filed its Memorandum and Articles of Association *inter alia* delineating its object clauses as well as their last available Audited Financial Statements for the year ended 31.03.2021 and Provisional Financial Statements as on 31.12.2021.

9. The Board of Directors of the Applicant Companies have unanimously approved the proposed Scheme as contemplated above and copies of the resolutions passed thereon have been placed on record by the Applicant Companies.

10. The Appointed date as specified in the Scheme shall be 1.04.2021.

11. The Statutory Auditors of the Transferee Company have examined the Scheme in terms of provisions of Sec. 232 of Companies Act, 2013 and the rules made thereunder and certified that the Accounting Standards are in compliance with Section 133 of the Companies Act, 2013.

12. Taking into consideration the application filed by the Applicant Companies and the documents filed therewith as well as the position of law, this Tribunal propose to issue the following directions : -

A. IN RELATION TO THE TRANSFEROR COMPANY :

(i) **With respect to the Equity shareholders:**

Meeting of the Equity Shareholders of the Transferor Company is directed to be held on **08.09.2022 at 09:00 AM** at the Registered Office address of the Transferee Company or through video conferencing or if not convenient at any other suitable place for which prior approval shall be sought from this Tribunal within a period of 7 days from the date of this order and prior to the issue of notices.

(ii) **With respect to the Secured Creditors:**

Since it is represented by the Transferor Company that there is one (1) secured Creditor in the Company whose consents by way of Affidavits have been obtained from sole secured Creditor and are placed on record, the necessity of convening, holding and conducting the meeting is ***dispensed with***.

(iii) **With respect to the Unsecured Creditors:**

Since it is represented by the Transferor Company that there is twelve (12) Unsecured Creditors in the Company whose consents by way of Affidavits have been obtained from the unsecured creditors equivalent to 98.04% of the total value of Unsecured

Creditors and the same are placed on record, the necessity of convening, holding and conducting the meeting is ***dispensed with***.

B. IN RELATION TO THE TRANSFEREE COMPANY:

(i) **With respect to the Equity shareholders:**

Meeting of the Equity Shareholders of the Transferee Company is directed to be held on the **08.09.2022** at **11.00 A.M.** at the registered Office of the Transferee Company or through video conferencing or any other suitable place for which prior approval shall be sought from this Tribunal within a period of 7 days from the date of this Order and prior to the issue of notices.

(ii) **With respect to the Secured Creditors:**

Meeting of the Secured Creditors of the Transferee Company is directed to be held on the **08.09.2022** at **02.00 P.M.** at the registered Office of the Transferee Company or through video conferencing or any other suitable place for which prior approval shall be sought from this Tribunal within a period of 7 days from the date of this Order and prior to the issue of notices.

(iii) **With respect to the Unsecured Creditors:**

Meeting of the unsecured Creditors of the Transferee Company is directed to be held on the **08.09.2022** at **04.00 P.M.** at the registered Office of the Transferee Company or through video conferencing or any other suitable place for which prior approval

shall be sought from this Tribunal within a period of 7 days from the date of this Order and prior to the issue of notices.

13. The quorum for the meeting of the Transferor Company shall be as follows;

S.No	Class	Quorum
1	Equity Shareholders	8

14. The quorum for the meeting of the Transferee Company shall be as follows;

S.No	Class	Quorum
1	Equity Shareholders	70
2	Secured Creditors	5
3	Unsecured Creditors	25

i) The Chairperson appointed for the above said meetings shall be **Mr. P.J. Ramkumar Rajha (Independent Director),** *failing him Mr.N.K. Shrikantan Raja (Director).*

ii) ii) Mr. ANS Vijay, practicing Company Secretary having office at 148/1, Palaniandavar Colony, Sivakasi – 626 189 appointed as a Scrutinizer for the above said meetings. The Chairperson(s) will file the reports of the meeting within a week from the date of holding of the above said meetings.

iii) In case the quorum as noted above, for the above meeting of the Applicant Companies is not present at the meeting, then

the meeting shall be adjourned by half an hour, and thereafter the person(s) present and voting shall be deemed to constitute the quorum. For the purpose of computing the quorum the valid proxies shall also be considered, if the proxy in the prescribed form, duly signed by the person entitled to attend and vote at the meeting, is filed with the registered office of the applicant companies at least 48 hours before the meeting. The Chairperson and Alternate Chairperson appointed herein along with Scrutinizer shall ensure that the proxy registers are properly maintained. However, every endeavour should be made by the applicant companies to attain at least the quorum fixed, if not more in relation to approval of the scheme.

iv) The meetings shall be conducted as per applicable procedure prescribed under the MCA Circular MCA General Circular Nos. (i) 20/2020 dated 5th May, 2020 (AGM Circular), (ii) 14/2020, dated 08.04.2020 (EGM Circular-I) and (iii) 17/2020 dated 13.04.2020 (EGM Circular-II);

v) That individual notices of the above said meetings shall be sent by the Applicant Company through registered post or speed post or through courier or e-mail, 30 days in advance before the scheduled date of the meeting, indicating the day, date, the place and the time as aforesaid, together with a copy of Scheme, copy of explanatory statement, required to be sent under the Companies Act, 2013 and the prescribed form of proxy shall also be sent along and in addition to the

above any other documents as may be prescribed under the Act or rules may also be duly sent with the notice.

vi) That the Applicant Company shall publish advertisement with a gap of at least 30 clear days before the aforesaid meetings, indicating the day, date and the place and time as aforesaid, to be published in the English Daily "*Business Standard*" (All India Edition), Nav Bharat Times (All India Edition) and "*Makkal Kural*" *Tamil* (Tamil Nadu Edition) in Vernacular stating the copies of Scheme, the Explanatory Statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 and the form of proxy shall be provided free of charge at the registered office of the respective Applicant Companies.

vii) The Chairperson shall as afore stated be responsible to report the result of the meeting within a period of 3 days of the conclusion of the meeting with details of voting on the proposed scheme.

viii) The companies shall individually send notice to concerned Regional Director, MCA, Registrar of Companies Chennai, Official Liquidator and the Income Tax Authorities, as well as other Sectoral regulators who may have significant bearing on the operation of the applicant companies or the Scheme *per se* along with copy of required documents and disclosures required under the provisions of Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

ix) The applicant companies shall further furnish copy of the Scheme free of charge within 1 day of any requisition for the Scheme made by every creditor or member of the applicant companies entitled to attend the meetings as aforesaid.

x) The Authorized Representative of the Applicant Companies shall furnish an affidavit of service of notice of meetings and publication of advertisement and compliance of all directions contained herein at least a week before the proposed meetings.

xi) All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicants.

15. The above Applications stand **allowed** on the aforesaid terms.

-Sd-

SAMEER KAKAR
MEMBER (TECHNICAL)

-Sd-

Justice (Retd) S.RAMATHILAGAM,
MEMBER (JUDICIAL)

Vinita Varshini